Type MS · Evaluating profitability using ratios

Answer 1 of 7 · Question 1 part c.ii · 5 marks

2023 JAN · Paper 02 · extract 1 of 3 · find part c.ii in this mark scheme extract

**1(a)** **Award marks as indicated.**

| | Manufacturing account | | Income statement | |
|---|---|---|---|---|
| | **Prime cost** | **Factory overheads** | **Income** | **Expenditure** |
| Wages-production staff | ✓ **(1)** | | | |
| Wages-office staff | | | | ✓ **(1)** |
| Wages-factory supervisor | | ✓ **(1)** | | |
| Carriage outwards | | | | ✓ **(1)** |
| Decrease in provision for irrecoverable debts | | | ✓ **(1)** | |
| Royalties paid | ✓ **(1)** | | | |

**(6)**

Type MS · Evaluating profitability using ratios

Answer 1 of 7 · Question 1 part c.ii · 5 marks

2023 JAN · Paper 02 · extract 2 of 3 · find part c.ii in this mark scheme extract

| Question number | Answer | Mark |
|---|---|---|
| 1(b) | **Award marks as indicated.** | (12) |

**Bella and Chand**
**Statement of financial position at 30 September 2022**

| **Assets** | **$** | **$** | **$** |
|---|---|---|---|
| **Non-current assets** | **Cost** | **Accumulated depreciation** | **Carrying value** |
| Property, plant and equipment | 65 000 | 18 050 | 46 950 **(1)** |
| **Current assets** | | | |
| Inventories | | 38 800 | |
| Trade receivables<br>Working [$27 600 **(1)** - $380 = $27 220 | | 27 220 **(2)** | |
| Bank | | 4 775 | |
| Petty cash | | 125 | |
| | | | 70 920 **(1)** |
| Total assets | | | 117 870 **(1)** |
| **Equity and liabilities** | | | |
| **Equity** | **Bella** | **Chand** | |
| Capital | 50 000 **(1)** | 50 000 **(1)** | 100 000 |
| Current | 10 500 **(1)** | 3 450 **(1)** | 13 950 |
| Total equity | | | 113 950 **(1)** |
| **Current liabilities** | | | |
| Trade payables | | 3 490 | |
| Other payables | | 430 | |
| | | | 3 920 **(1)** |
| Total equity and liabilities | | | 117 870 **(1)** |

Type MS · Evaluating profitability using ratios

Answer 1 of 7 · Question 1 part c.ii · 5 marks

2023 JAN · Paper 02 · extract 3 of 3 · find part c.ii in this mark scheme extract

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>1(c)(i)</td><td>Award marks as indicated.<br><br>
<table>
<tr><th>Ratio</th><th>Formula</th></tr>
<tr><td>Profit for the year as a percentage of revenue</td><td>Profit for the year x 100<br>Revenue<br>(1)</td></tr>
<tr><td>Return on capital employed</td><td>Profit for the year x 100<br>Capital employed.<br>(1)</td></tr>
</table>
</td><td>(2)</td></tr>
</table>

| Question number | Answer | Mark |
|---|---|---|
| 1(c)(ii) | **Award up to 4 marks for discussion on both ratios and the final 1 mark for a conclusion related to the scenario.**<br><br>**Sample answer**<br><br>Profit for the year as a percentage of revenue has improved over the year **(1)** indicating a better control of expenses **(1).**<br><br>The return on capital employed has worsened **(1)** indicating an inefficient use of resources **(1).**<br><br>Overall, profitability has worsened **(1).** | (5) |

**(Total for Question 1 = 25 marks)**

Type MS · Evaluating profitability using ratios

Answer 2 of 7 · Question 2 part c · 5 marks

2019 JUN · Paper 02 · extract 1 of 4 · find part c in this mark scheme extract

| | | |
|---|---|---|
| **2(a)** | **Award marks as indicated.**<br><br>**Scenario** / **Accounting concept**<br>Adjusting expenses for other receivables — Accruals **(1)**<br>Creating an allowance for doubtful debts — Prudence **(1)**<br>Recording goods taken for personal use — Business entity **(1)** | **(3)** |

| Question number | Answer | Mark |
|---|---|---|
| **2(b)(i)** | **Award mark as indicated**<br>Profitability is the ability to generate profits from the activities of the business **(1).** | **(1)** |

| Question number | Answer | Mark |
|---|---|---|
| **2(b)(ii)** | **Award mark as indicated**<br>Liquidity is the ability of a business to pay off its liabilities **(1).** | **(1)** |

| Question number | Answer | Mark |
|---|---|---|

Type MS · Evaluating profitability using ratios

Answer 2 of 7 · Question 2 part c · 5 marks

2019 JUN · Paper 02 · extract 2 of 4 · find part c in this mark scheme extract

| | | |
|---|---|---|
| **2(c)** | **Award up to 2 marks for comments on profitability and up to 2 marks for comments on liquidity and 1 mark for overall evaluation.**<br><br>**Sample answer**<br><br>Gross profit margin has improved indicating charging higher selling price in relation to lower/constant purchase price or cost of sales **(1)**.<br><br>Profit for the year as a percentage of revenue has also improved due to better gross profit margin **(1)**.<br><br>Current (working capital) ratio has improved which indicates that the business was able to pay off its short-term liabilities in both years **(1)**.<br><br>Liquid (acid test) ratio has improved, which indicates that the business can pay off its short-term liabilities without having to sell inventory **(1)**.<br><br>Overall profitability and liquidity of the business has improved **(1)** | **(5)** |

Type MS · Evaluating profitability using ratios

Answer 2 of 7 · Question 2 part c · 5 marks

2019 JUN · Paper 02 · extract 3 of 4 · find part c in this mark scheme extract

| Question number | Indicative content | Mark |
|---|---|---|
| 2(e) | • Partners must share the profits/losses, so they must prepare the appropriation accounts to show the share of profit/loss.<br>• Being partners, they may be entitled to interest on capital, drawings and interest on drawings, salaries etc so they must prepare the current account to show what business owes to them and what they owe to business.<br>• Being partners the drawings and profit share is not adjusted to the capital account so they must show the capital and current account separately in the statement of financial position.<br>The indicative content is not exhaustive; other creditworthy material should be awarded marks as appropriate. | (6) |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| Level 1 | 1 - 2 | Some understanding of the accounting principles demonstrated but explanation has not been developed adequately. |
| Level 2 | 3 - 4 | Good understanding of the accounting principles demonstrated with a developed explanation but with limited evidence to support response. |
| Level 3 | 5 - 6 | Excellent understanding of the accounting principles demonstrated with a well-developed explanation with sufficient evidence to fully support response. |

Type MS · Evaluating profitability using ratios

Answer 2 of 7 · Question 2 part c · 5 marks

2019 JUN · Paper 02 · extract 4 of 4 · find part c in this mark scheme extract

| Question number | Answer | Mark |
|---|---|---|
| 2(f) | **Award up to 2 marks for identification, 2 marks for development and 1 mark for conclusion.**<br><br>**Sample answers**<br><br>A sole trader may have limited finance/capital/resources to expand the business **(1)**, but a new partner brings in additional finance/capital/resources available to expand the business **(1)**.<br><br>A sole trader may find it hard to cope with the demands of the increased business **(1)**, but a new partner will bring in additional skills/knowledge/ideas/ and share workload **(1)**.<br><br>If a sole trader forms a partnership, he will lose control as all the decision are to be made collectively **(1)**, whereas at present he makes all the decisions **(1)**.<br><br>If a sole trader forms a partnership, he must share the profits with the other partner **(1)**, whereas at present he takes all the profits **(1)**.<br><br>Any supported decision **(1)**. | **(5)** |

**(TOTAL FOR QUESTION 2 = 25 marks)**

## Type MS · Evaluating profitability using ratios

### Answer 3 of 7 · Question 2 part c · 5 marks

2020 NOV · Paper 02 (regional R) · extract 1 of 4 · find part c in this mark scheme extract

**2 (a)** **Award marks as indicated with label.**

| Talmur and Soha<br>Appropriation account for the year ended 31 March 2020 | | |
|---|---|---|
| | **$** | **$** |
| Profit for the year | | 65 000 |
| Interest on drawings: | | |
| Talmur | 1 000 **(1)** | |
| Soha | 800 **(1)** | |
| | | 1 800 |
| Interest on capital: | | |
| Talmur | 7 500 **(1)** | |
| Soha | 5 000 **(1)** | |
| | | (12 500) |
| Salary: | | |
| Talmur | | (15 000) **(1)** |
| Profit available for distribution | | 39 300 |
| Share of profit: | | |
| Talmur | | 23 580 **(1of)** |
| Soha | | 15 720 **(1of)** |
| | | 39 300 |

**(7)**

Type MS · Evaluating profitability using ratios

Answer 3 of 7 · Question 2 part c · 5 marks

2020 NOV · Paper 02 (regional R) · extract 2 of 4 · find part c in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **2 (b)(i)** | **Award 1 mark for each correct figure as indicated plus 1 mark for correct dates and details.** | **(6)** |

**Current Account - Talmur**

| Date | Details | $ | Date | Details | $ |
|---|---|---|---|---|---|
| 1 April 2019 | Balance b/d | 4 750 | 31 March 2020 | Interest on capital | 7 500 **(1of)** |
| 31 March | Drawings | 20 000 | | Salary | 15 000 **(1)** |
| | Interest on drawings | 1 000 **(1fb)** | | Share of profit | 23 580 **(1of)** |
| | Balance c/d | 20 330 | | | |
| | | 46 080 | | | 46 080 |
| | | | 1 April 2020 | Balance b/d | 20 330 **(1of)** |

| Question Number | Answer | Mark |
|---|---|---|
| **2 (b)(ii)** | **Award 1 mark as indicated.**<br>There may be a share of loss **(1).**<br>Or<br>More drawings than available on the account **(1).**<br>**Accept other appropriate responses.** | **(1)** |

Type MS · Evaluating profitability using ratios

Answer 3 of 7 · Question 2 part c · 5 marks

2020 NOV · Paper 02 (regional R) · extract 3 of 4 · find part c in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **2 (c)** | **Award 1 mark for an introduction, up to 3 marks for discussion on ratios and 1 mark for a conclusion.**<br><br>**For example**<br>The partners are incorrect **(1).**<br>The gross profit margin is unchanged over the two years indicating no change in either the selling price or cost price **(1).**<br>The profit for the year as a percentage of revenue has increased indicating that the business is controlling their expenses adequately **(1).**<br>The return on capital employed has decreased indicating that the business is not using the increase in capital employed effectively in generating profit **(1)**.<br>Overall profitability has declined **(1).** | **(5)** |

| Question Number | Answer | Mark |
|---|---|---|
| **2 (d)** | **Award marks as indicated.** | **(6)** |

| **Transaction** | **Increase** | **Decrease** | **No effect** |
|---|---|---|---|
| Purchase of a non-current asset by cash | | ✓ **(1)** | |
| Sale of a non-current asset on credit | ✓ **(1)** | | |
| Non-current asset taken by owner for own use | | | ✓ **(1)** |
| Purchase of inventory on credit | | | ✓ **(1)** |
| Sale of inventory by cash | ✓ **(1)** | | |
| Inventory taken by owner for own use | | ✓ **(1)** | |

## Type MS · Evaluating profitability using ratios

### Answer 3 of 7 · Question 2 part c · 5 marks

2020 NOV · Paper 02 (regional R) · extract 4 of 4 · find part c in this mark scheme extract

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Type MS · Evaluating profitability using ratios

Answer 4 of 7 · Question 1 part c · 5 marks

2021 JUN · Paper 02 · extract 1 of 3 · find part c in this mark scheme extract

**1(a)** **Award marks as indicated.**

**Leo**

**Manufacturing account for the year ended 31 March 2021**

| | $ | $ | |
|---|---|---|---|
| Opening inventory - raw materials | | 56 000 | |
| Purchases | 167 500 | | |
| Returns outwards | (17 500) | | |
| | | 150 000 | **(1)** |
| Carriage inwards | | 1 300 | **(1)** |
| Closing inventory - raw materials | | (44 000) | **(1fb)** |
| **Cost of raw materials consumed** | | 163 300 | **(1of)+W** |
| Direct wages | | 82 400 | **(1)** |
| Royalties | | 15 000 | **(1)** |
| **Prime cost** | | 260 700 | **(1of)+W** |
| Depreciation - plant and machinery | 32 000 | | **(1)** |
| Depreciation - premises | 37 500 | | **(1)** |
| Indirect expenses | 79 500 | | **(1)** |
| Insurance | 8 500 | | **(1)** |
| Electricity | 13 500 | | **(1)** |
| Indirect wages | 85 000 | | **(1)** |
| | | 256 000 | |
| | | 516 700 | |
| Opening inventory - work in progress | 64 000 | | |
| Closing inventory - work in progress | (68 400) | | |
| | | (4 400) | **(1fb)** |
| **Production cost** | | 512 300 | **(1of)+W** |

**(15)**

**Additional Guidance**

fb = For both opening and closing inventories.

of = own figure. Accuracy mark can be awarded where the candidate's answer does not match the mark scheme, though is accurate based on the correct method.

(1of) +W mark is only awarded if both figure and words are present.

## Type MS · Evaluating profitability using ratios

### Answer 4 of 7 · Question 1 part c · 5 marks

2021 JUN · Paper 02 · extract 2 of 3 · find part c in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **1(b)** | **Award marks as indicated.** | **(5)** |

**Leo**
**Income statement for the year ended 31 March 2021**

| | $ | $ | |
|---|---|---|---|
| Revenue | 630 000 | | |
| Returns inwards | (12 000) | | |
| | | 618 000 | **(1)** |
| **Cost of sales** | | | |
| Opening inventory - finished goods | 108 000 | | |
| Production cost | 512 300 | | **(1of)** |
| Closing inventory - finished goods | (112 000) | | **(1fb)** |
| | | (508 300) | **(1of) + W** |
| **Gross profit** | | 109 700 | **(1of) +W** |
| | | | |

**Additional Guidance**

Award revenue $ 618 000 1 mark.

fb = For both opening and closing inventories.

of = own figure. Accuracy mark can be awarded where the candidate's answer does not match the mark scheme, though is accurate based on the correct method.

(1of) +W mark is only awarded if both figure and words are present.

Type MS · Evaluating profitability using ratios

Answer 4 of 7 · Question 1 part c · 5 marks

2021 JUN · Paper 02 · extract 3 of 3 · find part c in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **1(c)** | **Award 1 mark for stating whether Leo is correct or incorrect with justification and up to 4 marks for supporting evidence.**<br><br>**Sample answer**<br><br>Leo is incorrect as both ratios have decreased indicating a deterioration in profitability **(1)**<br><br>This is supported by:<br>• the decrease in gross profit percentage which may be due to a lower selling price **(1)** or an increase in cost price **(1)**<br><br>• the decrease in return on capital employed percentage which may be due to Leo introducing additional capital **(1)** or an increase in expenses **(1).** | **(5)** |
| **Additional Guidance**<br><br>The sample answer is not definitive. Award marks for appropriate comments relating to a decrease in profitability but NOT referenced to liquidity. | | |

**(Total for Question 1 = 25 marks)**

Type MS · Evaluating profitability using ratios

Answer 5 of 7 · Question 1 part b.ii · 5 marks

2022 JUN · Paper 02 (regional R) · extract 1 of 3 · find part b.ii in this mark scheme extract

**1(a)(i)** **Award marks as indicated.**

**Dina**

**Manufacturing account for the year ended 31 March 2022**

| | $ | $ | |
|---|---|---|---|
| Opening inventory - raw materials | | 9 640 | |
| Purchases | | 98 400 | **(1)** |
| Closing inventory - raw materials | | (10 400) | **(1fb)** |
| **Cost of raw materials consumed** | | 97 640 | **(1of)** |
| Direct wages | | 38 400 | **(1)** |
| Royalties | | 1 780 | **(1)** |
| **Prime cost** | | 137 820 | **(1of)** |
| Factory overheads | | | |
| Depreciation charge - plant and machinery | 17 200 | | **(1)** |
| Indirect wages | 27 000 | | **(1)** |
| Insurance | 3 200 | | **(1)** |
| Electricity | 7 800 | | **(1)** |
| Factory rent | 12 000 | | **(1)** |
| | | 67 200 | |
| | | 205 020 | |
| Opening inventory - work in progress | 4 200 | | |
| Closing inventory - work in progress | (4 430) | | |
| | | (230) | **(1)** |
| **Production cost** | | 204 790 | **(1of)** |

**(13)**

Type MS · Evaluating profitability using ratios

Answer 5 of 7 · Question 1 part b.ii · 5 marks

2022 JUN · Paper 02 (regional R) · extract 2 of 3 · find part b.ii in this mark scheme extract

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>1(a)(ii)</td><td>Award marks as indicated.<br>Dina<br>Income statement for the year ended 31 March 2022<br><table><tr><th></th><th>$</th><th>$</th></tr><tr><td>Revenue</td><td></td><td>385 000<br>(1)</td></tr><tr><td>Cost of sales</td><td></td><td></td></tr><tr><td>Opening inventory — finished goods</td><td>6 750</td><td></td></tr><tr><td>Production cost</td><td>204 790<br>(1of)</td><td></td></tr><tr><td></td><td>211 540</td><td></td></tr><tr><td>Closing inventory — finished goods</td><td>(5 850)<br>(1fb)</td><td></td></tr><tr><td>Cost of goods sold</td><td></td><td>205 690</td></tr><tr><td>Gross profit</td><td></td><td>179 310<br>(1of)</td></tr></table></td><td>(4)</td></tr>
</table>

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>1(b)(i)</td><td>Award marks as indicated.<br><table><tr><th>Ratio</th><th>Formula</th></tr><tr><td>Gross profit percentage</td><td>Gross profit X 100<br>Revenue<br>(1)</td></tr><tr><td>Profit for the year as a percentage of revenue</td><td>Profit for the year X 100<br>Revenue<br>(1)</td></tr><tr><td>Return on capital employed.</td><td>Profit for the year X 100<br>Capital employed<br>(1)</td></tr></table></td><td>(3)</td></tr>
</table>

Type MS · Evaluating profitability using ratios

Answer 5 of 7 · Question 1 part b.ii · 5 marks

2022 JUN · Paper 02 (regional R) · extract 3 of 3 · find part b.ii in this mark scheme extract

| Question number | Answer | Mark |
|---|---|---|
| 1(b)(ii) | **Award 1 mark for analysis of each ratio, 2 marks for development of the ratios and 1 mark for overall conclusion.**<br><br>**Sample answer**<br><br>The decrease in gross profit percentage may be due to a lower selling price and/or a higher cost of sales **(1).**<br><br>Despite the fall in the gross profit percentage, the profit for the year as a percentage of revenue and the return on capital employed both improved **(1)** indicating better control over expenses **(1)** and more efficient use of resources **(1)**.<br><br>So, Dina's statement is incorrect **(1)**.<br><br>**Accept any other appropriate responses.** | **(5)** |

**(Total for Question 1 = 25 marks)**

Type MS · Evaluating profitability using ratios

Answer 6 of 7 · Question 2 part d · 5 marks

2023 JUN · Paper 02 (regional R) · extract 1 of 4 · find part d in this mark scheme extract

| | | |
|---|---|---|
| **2(a)(i)** | **Award mark as indicated.**<br><br>To encourage partners to make additional investment in the business **(1)** | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **2(a) (ii)** | **Award mark as indicated.**<br><br>To discourage partners from making excessive drawings **(1)** | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **2(a) (iii)** | **Award mark as indicated.**<br><br>To reward partners for extra responsibility **(1)** | **(1)** |

## Type MS · Evaluating profitability using ratios

### Answer 6 of 7 · Question 2 part d · 5 marks

2023 JUN · Paper 02 (regional R) · extract 2 of 4 · find part d in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **2(b)** | **Award marks as indicated.** | **(8)** |

**Belen and Charo**
**Appropriation account for the year ended 31 December 2022**

| | $ | $ |
|---|---|---|
| Profit for the year | | 66 200 |
| Interest on drawings | | |
| Belen | 1 600 **(1)** | |
| Charo | 3 040 **(1)** | 4 640 |
| | | |
| Interest on capital | | |
| Belen | 4 000 **(1)** | |
| Charo | 4 500 **(1)** | (8 500) |
| Salary - Charo | | (24 000) **(1)** |
| Profit available for distribution | | 38 340 **(1of)** |
| Share of profit | | |
| Belen | | 19 170 **(1of)** |
| Charo | | 19 170 **(1of)** |
| | | 38 340 |

Type MS · Evaluating profitability using ratios

Answer 6 of 7 · Question 2 part d · 5 marks

2023 JUN · Paper 02 (regional R) · extract 3 of 4 · find part d in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **2(c)** | **Award marks for each correct date, detail and amount in combination.** | **(8)** |

**Capital Account - Charo**

| Date | Details | $ | Date | Details | $ |
|---|---|---|---|---|---|
| 31 December | Balance c/d | 90 000 | 1 January | Cash book/Bank | 90 000 **(1)** |
| | | 90 000 | | | 90 000 |
| | | | 1 January | Balance b/d | 90 000 **(1)** |

**Current Account - Charo**

| Date | Details | $ | Date | Details | $ |
|---|---|---|---|---|---|
| 31 December | Appropriation/ Interest on drawings | 3 040 **(1of)** | 31 December | Appropriation/ Interest on capital | 4 500 **(1of)** |
| | Drawings | 38 000 **(1)** | | Appropriation/ Salary | 24 000 **(1of)** |
| | Balance c/d | 6 630 | | Appropriation/ Share of profit | 19 170 **(1of)** |
| | | 47 670 | | | 47 670 |
| | | | 1 January | Balance b/d | 6 630 **(1of)** |

Type MS · Evaluating profitability using ratios

Answer 6 of 7 · Question 2 part d · 5 marks

2023 JUN · Paper 02 (regional R) · extract 4 of 4 · find part d in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **2(d)** | **Award 1 mark for analysis of each ratio, 1 mark for development of each ratio and 1 mark for overall conclusion.**<br><br>The gross profit percentage is lower than budgeted **(1)** which may be due to selling prices falling/cost of sales increasing **(1).**<br><br>However, the profit for the year as a percentage of revenue is higher than budgeted **(1),** which may be due to efficient control of overheads **(1).**<br><br>Therefore, the partners are correct that overall profitability is better than expected **(1).**<br><br>**Accept any other appropriate responses.** | **(5)** |

| Question Number | Answer | Mark |
|---|---|---|
| **2(e)** | **Award mark as indicated.**<br><br>Return on capital employed **(1)** | **(1)** |

**TOTAL FOR QUESTION 2 = 25 MARKS**

| Question Number | Answer | Mark |
|---|---|---|
| **2(a) (i)** | **Award 1 mark for an explanation of the prudence concept and up to 2 marks for valid development.**<br><br>The prudence concept states that profits and assets should not be overstated **(1).** Creating a provision for irrecoverable debts recognises that not all debts will be recovered **(1)** therefore the true value of trade receivables will be shown in the financial statements **(1)** | **(3)** |

| Question Number | Answer | Mark |
|---|---|---|
| **2(a) (ii)** | **Award 1 mark for an explanation of the business entity concept and 1 mark for valid development.**<br><br>**Sample Answer**<br><br>The business entity concept states that the business is treated as being completely separate from the owner of the business **(1)** therefore the business books of account should only reflect the transactions of the business and not the owner's personal expenditure **(1).**<br><br>**Accept any other appropriate responses.** | **(2)** |

| Question Number | Answer | Mark |
|---|---|---|
| **2(b)** | **Award marks as indicated**<br><br>$36 784 **(5) W**<br><br>**Working** | **(5)** |

| | $ | |
|---|---|---|
| Draft profit for the year | 37 800 | |
| Rental income in advance | (650) | **(1)** |
| Goods for own use | 280 | **(1)** |
| Depreciation understated | (400) | **(1)** |
| Provision for irrecoverable debts | (246) | **(1)** |
| Revised profit for the year | 36 784 | **(1)** |

Type MS · Evaluating profitability using ratios

Answer 7 of 7 · Question 2 part d · 5 marks

2025 JUN · Paper 02 · extract 2 of 3 · find part d in this mark scheme extract

| Question number | Answer | Mark |
|---|---|---|
| 2(c) | **Award marks as indicated.** | **(10)** |

**Ruhi**
**Statement of financial position at 31 March 2025**

| **Assets** | **$** | **$** | |
|---|---|---|---|
| **Non-current assets** | | 21 420 | **(1)** |
| **Current assets** | | | |
| Inventory | 14 650 | | |
| Trade receivables | 12 054 | | **(1)** |
| Other receivables | 330 | | |
| | | 27 034 | |
| **Total assets** | | 48 454 | **(1of)** |
| **Equity and liabilities** | | | |
| **Equity** | | | |
| Opening equity | 23 900 | | |
| Profit for the year | 36 784 | | **(1of)** |
| Drawings | (32 580) | | **(1)** |
| **Total equity** | | 28 104 | **(1of)** |
| **Non-current liabilities** | | | |
| Bank loan | | 9 500 | **(1)** |
| **Current liabilities** | | | |
| Trade payables | 8 660 | | |
| Other payables | 2 030 | | **(1)** |
| Bank overdraft | 160 | | |
| | | 10 850 | |
| **Total liabilities** | | 20 350 | **(1of)** |
| **Total equity and liabilities** | | 48 454 | **(1of)** |

Type MS · Evaluating profitability using ratios

Answer 7 of 7 · Question 2 part d · 5 marks

2025 JUN · Paper 02 · extract 3 of 3 · find part d in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **2(d)** | **Award up to 4 marks for assessment of the ratios. Award 1 mark for a conclusion.**<br><br>**Sample Answer**<br><br>While the gross profit percentage has not changed over the three years the profit for the year as a percentage of revenue has worsened **(1)**, which indicates that the business needs to improve the control of expenses **(1)**.<br><br>The return on capital employed has improved over the same period **(1)** indicating that the business is making better use of the capital invested in the business **(1).**<br><br>Overall profitability has deteriorated/improved over the three years **(1)**<br><br>**Accept any other appropriate responses.** | **(5)** |

**(Total for Question 2 = 25 marks)**